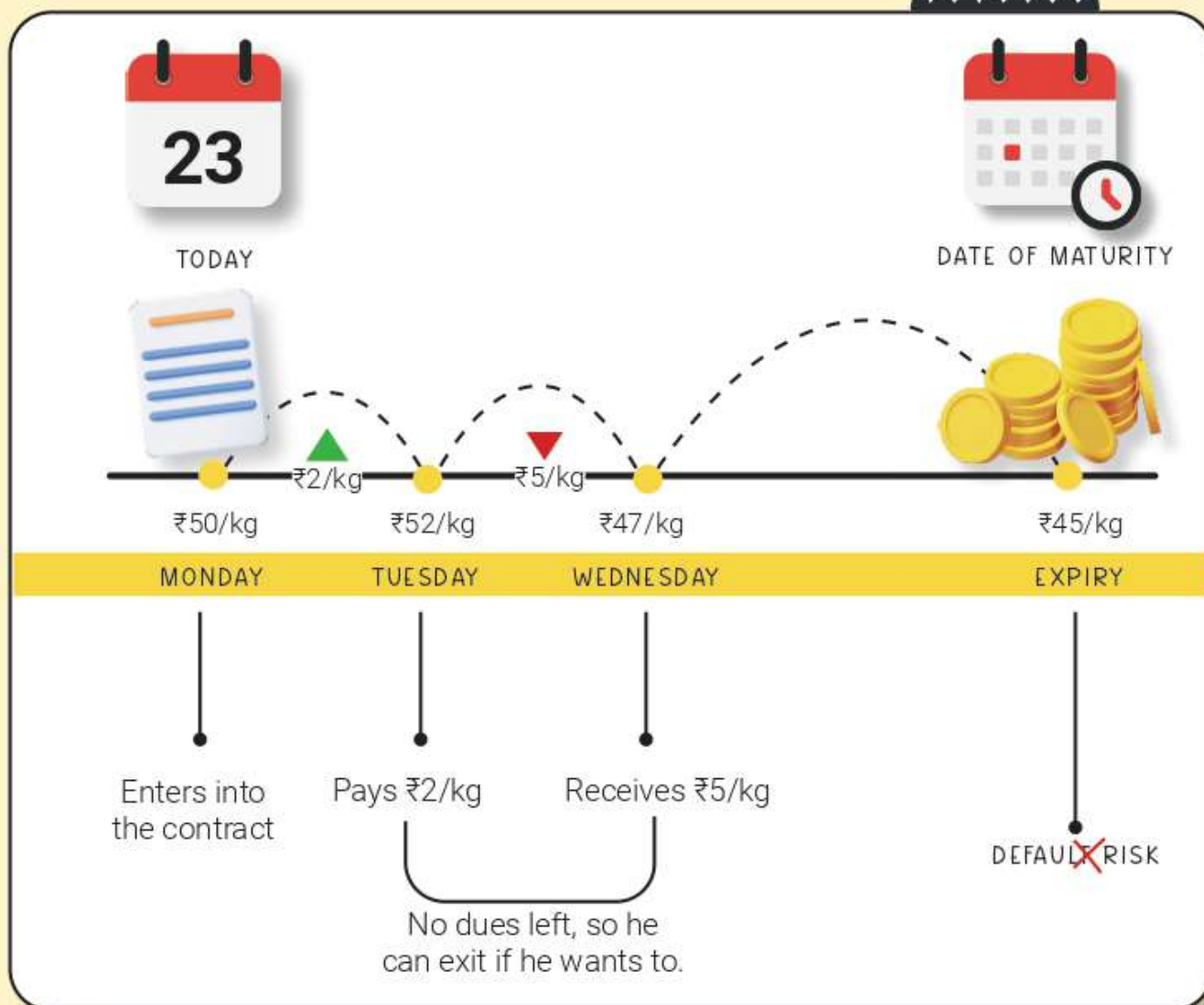


SELLER'S PERSPECTIVE



On the first day when **the price of the underlying asset (say Wheat) rises by ₹2**, the seller will pay this ₹2/kg to the buyer.

The **next day when the price falls by ₹5**, the seller will get this ₹5/kg from the buyer. Therefore, a futures contract can be bought or sold at any moment before expiry. The profits and losses are settled on daily basis as its marked to market daily.